

SEMI CONNED? Maharashtra CM Shinde (right) with deputy Fadnavis

ANI

announced that the Vedanta-Foxconn plant was coming to Talegaon.

But things started going south soon after. The Gujarat government announced its 'Gujarat Semiconductor Policy 2022-27' on July 28, with the state proposing a 'Semicon City' as part of the ambitious Dholera Special Investment Region near Ahmedabad. At this point, the Maharashtra government offered more concessions to Vedanta-Foxconn (see *The Wooing Game*). A July 26 letter by Shinde to Vedanta reveals that the CM assured the company that two of its conditions—'alignment with the Centre' and approval by the state cabinet—would be met soon.

Shinde had requested Vedanta-Foxconn to finalise July 29 as the date to sign the MoU. However, official records show that the company avoided a meeting. Fadnavis, who also handles the finance portfolio, said on September 16 that he had personally called Vedanta's Agarwal on September 5 in a bid to seal the MoU. "He told me they had made up their mind on shifting to Gujarat," says Fadnavis. Agarwal said the Maharashtra government had made a "huge effort" in July to "outbid other states with a competitive offer... but we decided on Gujarat a few months ago as they met our expectations."

ARM-TWISTING BY CENTRE?

Talk of the Union government 'convincing' Vedanta-Foxconn to move to Gujarat began when Agarwal thanked Union information technology minister Ashwini Vaishnaw for helping the company "tie things up so quickly" at the signing of the MoU. Soon after, Prime Minister Narendra Modi tweeted, "This MoU is an important step in accelerating India's semiconductor manufacturing ambitions. The investment of Rs 1.54 lakh crore will create a significant impact to boost the economy and jobs." Agarwal later tweeted the decision to choose Gujarat was based on "professional and independent advice".

Opposition parties in Maharashtra have gone to town over the loss to Gujarat. Former CM Prithviraj Chavan alleged that the Union government shifted the project against Agarwal's wishes. "Vedanta was told to shift if they wanted incentives from the Centre," Chavan told reporters on September 15. "Fadnavis can't utter a word

THE PROJECT

TOTAL INVESTMENT
Rs 1.54 lakh crore

ACTIVITY
Semiconductor fabrication unit to make chips used in digital consumer products from cars and mobile phones to debit cards

JOBS
200,000 direct and indirect jobs

STATE GST REVENUES
Rs 27,000 crore for the first five years

THE WOOING GAME

What Vedanta-Foxconn was offered as incentives

MAHARASHTRA

- Rs 40,000 cr incentive package
- Capital subsidy of up to 30 per cent for manufacturing
- Power tariff subsidy of Re 1 per unit; exemption from power duty; subsidies on land and water too
- Support to manufacture a 750 megawatt solar power plant

GUJARAT

- Rs 12,000 cr incentive package
- 75 per cent subsidy on purchase of the first 200 acres of land
- Capital subsidy of 50 per cent if it build own desalination plant for captive use in the initial five years
- Power tariff subsidy of Rs 2 per unit for the first 10 years of going into production; possible exemption from electricity duty